Optional: Case study — Luxury Brand Price Hikes

In recent years, many luxury brands (e.g., Chanel) have repeatedly raised prices on their most popular handbags. For example, Chanel's Classic Flap bag was around $4,400 in 2012 but over $8,800 by 2022, and prices have continued to climb in 2025.

Reports note that not only rising costs and inflation play a role, but also branding strategy: scarcity, exclusivity, and social media influence fuel demand at higher prices.

https://www.sothebys.com/en/articles/the-luxury-price-boom-why-you-should-invest-in-chanel-handbags-today

https://www.purseblog.com/report/the-price-of-handbags-keeps-climbing-whats-fueling-the-growth/

What do you think will be the outcome of luxury bags price increase? Consider the target clients (income elasticity), price elasticity of demand, and the impact on revenue.

Outcome of Luxury Bag Price Increase

1. Customer Segments

Wealthy clients:

Already have high income, so income elasticity is low (their demand doesn’t grow much with rising income).

Price elasticity is also low, sometimes inelastic — they are less sensitive to price changes.

For some, higher prices may even increase desirability (Veblen effect).

Outcome of Luxury Bag Price Increase

1. Customer Segments

Middle-class aspirational buyers:

Income elasticity is higher — as income grows, they buy disproportionately more luxury goods.

But in recent years, with weaker economic conditions, this group is most affected.

A price increase strongly reduces their demand.

Outcome of Luxury Bag Price Increase

2. Impact of Price Increase

For wealthy clients, demand falls only slightly (inelastic).

For middle-class clients, demand falls significantly, especially with rising prices + tighter budgets.

Overall market effect depends on which group dominates demand.

3. Market Share Question

If wealthy clients account for most luxury consumption, then total revenue could stay stable or even increase after a price hike.

If middle-class clients form a significant share, then revenue is likely to decline, because their demand is highly elastic.

Outcome of Luxury Bag Price Increase

4. Other Considerations

Even wealthy clients may switch brands (substitutes), as loyalty to one brand is not always absolute.

Over time, repeated price hikes could alienate aspirational buyers, shrinking the long-term customer base.

The outcome of a luxury bag price increase is not straightforward. It depends on:

Income elasticity (how demand changes with income)

Price elasticity (how sensitive buyers are to price)

Market composition (wealthy vs middle-class share of demand)

Substitutes (availability of other brands)

If the wealthy dominate demand → price hike may raise revenue.
If aspirational buyers are important → revenue may fall sharply.